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Market Study

AI Contract Risk Analyzer

This study looks at the market for our project, an AI tool that helps people understand contracts. Someone can upload a PDF, upload a photo, or paste in the contract text. The tool then finds the risky clauses, explains in plain language why each one is a problem, and lets the user sort the issues by how serious they are, how much money is involved, or where they appear in the contract. It also reads the contract from the user's side of the deal, gives a rough estimate of the money, rights, and obligations at stake, and suggests safer wording along with a message the user can send to negotiate. The idea is simple: upload a contract, see the risks, understand them, and know what to ask for. The rest of the study looks at the tools that already exist, compares their features, goes through what users say about them, and shows where our project fits in.

1. Introduction

People sign contracts all the time, for freelance work, apartments, job offers, suppliers, and software subscriptions, but most of them don't actually read the terms, or they read them and still don't fully understand what they mean. The obvious fix is to hire a lawyer, but that gets expensive fast. A lawyer usually charges somewhere between 200 and 500 US dollars to review a single document, and it can take a few days. So a lot of people and small businesses just skip the review, and they only find out about a bad clause after something goes wrong and it has already cost them money.
AI has started to close this gap. In a well-known study by LawGeex, an AI system did as well as or better than experienced lawyers at catching risks in standard NDAs (around 94% accuracy against 85% for the lawyers), and the legal-AI market as a whole is expected to reach about 37 billion US dollars by 2027. There are now plenty of cheap tools that can review a contract quickly. The problem is that most of them stop at explaining what a clause says. They don't usually tell someone without a legal background how much a risk could actually cost, what it means for their specific position in the deal, or what to say to fix it. That is the part our project focuses on.

2. Competitor Analysis

The tools in this market roughly fall into three groups, and each one is built for a different kind of user. The first group is enterprise legal software made for law firms and company legal teams. The second is cheaper tools aimed at individuals and small businesses that don't have a lawyer on hand. The third is general AI assistants like ChatGPT that people use informally for a quick second opinion. Our project sits mostly in the second group, but it tries to give the kind of detailed analysis that usually only shows up in the first.

2.1 Existing Solutions

Here are the main tools already out there:

- **Legalese Decoder:** Rewrites legal documents into plain English, section by section, and even lets you scan a document with your phone camera. It's free or freemium and popular with freelancers and everyday users. The catch is that it's really about helping you understand the document. It doesn't rank the risks, tell you how much money is on the line, or help you negotiate.
- **Genie AI:** Helps people and businesses write, review, and negotiate contracts, and it can flag risky clauses. It's good at drafting and negotiation, but it feels more like a full document-management platform than a simple tool that walks a non-lawyer through the risks from their own point of view.
- **LawGeex:** Automatically reviews contracts for in-house legal teams using company "playbooks", flags high-risk clauses, and marks up the document against company policy. It's accurate, but it's priced and set up for companies, not for someone reviewing one contract on their own.
- **Spellbook, Luminance, and Kira:** These are professional tools built into the way lawyers already work, like Word add-ins or systems for reviewing huge numbers of documents in a merger. They're powerful but expensive, and they're far more than anyone needs for a single freelance contract or a lease.
- **General AI (ChatGPT, Claude):** You can paste a contract into a chatbot and ask what looks risky, which is cheap and convenient. The downside is that the answer comes back as a wall of text, it can make things up, there's no built-in way to sort risks by seriousness or cost, and pasting someone else's contract into a public chatbot can raise privacy concerns.

3. Feature Comparison

Feature	Legalese Decoder	Genie AI	LawGeex	ChatGPT / AI	Our Project
Explains clauses in plain English	✓	✓	✓	✓	✓
Flags how serious each risk is	✗	✓	✓	✗	✓
Sorts risks by money at stake	✗	✗	✗	✗	✓
Reads from your side of the deal	✗	✗	✓	✗	✓
Gives new wording + a message to send	✗	✓	✓	✓	✓
Made for non-lawyers and affordable	✓	✓	✗	✓	✓

4. Customer Feedback Analysis

To identify common issues with existing solutions, customer reviews from Google Play Store, Apple App Store, and tech forums were analyzed.

4.1 Positive Feedback

- **Price.** The thing people mention most is the cost. For a fraction of what a lawyer charges, they can finally check documents they used to just sign without reading.
- **Speed and access.** A whole contract gets summarized in a few minutes, at any time, with no appointment, and people like getting plain English instead of legal jargon.
- **Confidence.** Users say they feel more sure about signing or pushing back, and some mention that the plain-English explanations helped them get better terms.
- **Easy to try.** Free versions and no-signup trials make it easy for freelancers, renters, and small-business owners to just test it out.

4.2 Negative Feedback & Market Gaps

- **Trust and accuracy.** This is the big one. General AI can get things wrong or make them up, and studies have found real error rates, so people aren't sure how far to trust the output.
- **Explains but doesn't guide.** A lot of tools explain what a clause means and then add a “this isn't legal advice” disclaimer, which leaves non-lawyers unsure about what to actually do next.
- **Same answer for everyone.** The analysis rarely considers which side of the deal you're on, so a clause is described the same way whether you're the client or the freelancer.
- **No sense of scale.** Tools almost never say how much money, rights, or obligations are involved, so it's hard to tell which risks are minor and which are a big deal.
- **Little negotiation help.** Very few tools give you the actual wording or a message to send, so even after you understand a risk, you're on your own to fix it.
- **Cost and complexity at the top.** The strongest tools (LawGeex, Spellbook, Luminance) are built and priced for big companies, and putting a counterparty's contract into a public chatbot brings up privacy worries.

5. Market Opportunity & Differentiation

Based on the analysis, our project has strong potential in the market. It differentiates itself by:

- **Ranking by money at stake.** On top of severity and contract order, it sorts risks by roughly how much money is involved. None of the direct competitors do this.
- **It reads for your side.** The analysis changes depending on your role in the deal, so a freelancer and a client don't get the same generic advice.
- **It doesn't stop at explaining.** For each risky clause it suggests safer wording and a ready-made message to send, so understanding a problem actually leads to fixing it.
- **Works with whatever you have.** A PDF, a photo, or pasted text all work, so someone can review a contract from a phone picture or a screenshot, not just a clean file.
- **Made for regular people.** It's designed for non-lawyers and priced for individuals and small businesses, unlike the enterprise tools.
- **Honest about what it is.** It bases its analysis on the actual document and is upfront that it helps rather than replaces a real lawyer, which is exactly the trust issue users complain about.

6. Conclusion

Overall, the study shows there's a real and growing need for contract review that ordinary people can actually use. Individuals, freelancers, and small businesses sign agreements they don't fully understand, hiring a lawyer is slow and expensive, and the tools that exist today all leave gaps. Plain-English decoders help you understand but not act, enterprise platforms are too costly, and general chatbots can be unreliable and raise privacy concerns.

Our project has a clear opening here. It combines plain-English explanations with risk ranking by seriousness and by money at stake, reads the contract from the user's side, and gives concrete wording and messages to negotiate, all in something affordable and built for non-lawyers. The main opportunity is helping people go from just understanding a contract to actually knowing what to ask for.

Appendix: Business Model Canvas

The Business Model Canvas

Designed for:	Designed by:	Date:	Version:
AI Contract Risk Analyzer	**[your team]**	**Sep 2026**	**1.0**

Key Partners
- AI / LLM providers (Anthropic, OpenAI)
- Cloud hosting (AWS / GCP)
- OCR & document-parsing services
- Legal experts for clause validation
- Freelance platforms & SMB tools (distribution)
- Payment processor (Stripe)
- Startup accelerators / incubators

Key Activities
- Build & improve the AI risk-analysis engine
- Maintain the legal clause & risk database
- Prompt engineering + accuracy testing
- Web & mobile product development
- Security, privacy & compliance
- Marketing and customer support

Key Resources
- LLM access & AI models
- Legal clause / risk knowledge base
- OCR pipeline for PDFs & images
- Engineering + product team
- Legal advisor
- Brand, cloud infrastructure, user data

Value Propositions
- Understand any contract in plain language, in minutes
- Flags risky clauses and explains why they matter
- Sorts issues by severity & money at stake
- Personalized to your side of the deal
- Suggests safer wording + ready-to-send negotiation messages
- Upload a PDF, a photo, or pasted text
- Far cheaper and faster than hiring a lawyer

Customer Relationships
- Self-service, automated AI analysis
- Freemium onboarding (free first checks)
- In-app guidance & explanations
- Email / chat support
- Community + help center
- Retention via saved contracts & alerts

Channels
- Web app (self-serve)
- Mobile app / responsive web (photo upload)
- App stores (iOS & Android)
- SEO, content & social media
- Freelance & small-business communities
- Referrals; browser extension

Customer Segments
- Freelancers & independent contractors
- Small businesses & startups (no in-house legal)
- Individuals: renters, job-seekers, gig workers
- Later: SMB legal / procurement teams
- Core: non-lawyers who regularly sign contracts

Cost Structure
- AI / LLM API usage (main variable cost)
- Cloud hosting & OCR processing
- Salaries: engineering, product, legal
- Marketing & customer acquisition
- Security, compliance & legal review

Value-driven; costs scale with usage.

Revenue Streams
- Freemium: limited free analyses
- Subscriptions (monthly / annual) or usage credits
- Pay-per-document one-off analysis
- Business / team plans (per seat)
- API & white-label for platforms (B2B)

Model: subscription + usage-based pricing.

Business Model Canvas — AI Contract Risk Analyzer | Adapted from Strategyzer (CC BY-SA 3.0)